

to our view, the high prices paid for “the best common stocks” make these purchases essentially speculative, because they require future growth to justify them. Hence common-stock investment operations, as we define them, will occupy a middle ground in the market, lying between low-price issues that are speculative because of doubtful quality and well-entrenched issues that are speculative, none the less, because of their high price.

Group A: Common Stocks Speculative in December 1938

Because of Their High Price (Figures adjusted to reflect changes in capitalization)

Item	Group A		
	General Electric	Coca-Cola	Johns-Manville
Amount Earned per Share of Common:			
1938	\$0.96	\$5.95	\$1.09
1937	2.20	5.73	5.80
1936	1.52	4.66	5.13
1935	0.97	3.48	2.17
1934	0.59	3.12	0.22
1933	0.38	2.20	0.64(<i>d</i>)
1932	0.41	2.17	4.47(<i>d</i>)
1931	1.33	2.96	0.45
1930	1.90	2.79	3.66
1929	2.24	2.56	8.09
10-yr. average	\$1.25	\$3.56	\$2.15
5-yr. average (1934–1938)	\$1.25	\$4.59	\$2.88
Bonds	None	None	None
Pfd. Stock	None	600,000 sh. @ 60 \$36,000,000	75,000 sh. @ 130 \$9,750,000
Common Stock	28,784,000 sh. @ 43 ¹ / ₂ \$1,250,000,000	3,992,000 sh. @ 132 ¹ / ₄ \$529,500,000	850,000 sh. @ 105 \$89,300,000
Total capitalization	\$1,250,000,000	\$565,500,000	\$99,050,000
Net tangible assets, 12/31/38	\$335,182,000	\$43,486,000	\$48,001,000
Net current assets, 12/31/38	\$155,023,000	\$25,094,000	\$17,418,000
Average earnings on common-stock price, 1929–1938	2.9%	2.7%	2.0%
Maximum earnings on common-stock price, 1929–1938	5.1%	4.5%	7.7%
Minimum earnings on common-stock price, 1929–1938	0.9%	1.6%	(<i>d</i>)
Average earnings on common-stock price, 1934–1938	2.9%	3.5%	2.7%